The German Historical School of Economics

The German Historical School of Economics, often referred to simply as the Historical School (Historische Schule), was a prominent school of economic thought that emerged in the early 19th century in Germany. It represented a departure from classical economics, which was dominated by British economists like Adam Smith and David Ricardo. The German Historical School played a pivotal role in shaping the development of economic thought and policy in Germany and beyond.

The terms "Old," "Younger," and "Youngest" German Historical School are often used to categorize the different phases or generations within the German Historical School of Economics, each with its own characteristics and focus. Here's an explanation of these terms and what they represent:

Old German Historical School (Althistorische Schule):

Time Period: This phase of the German Historical School emerged in the early 19th century and was most active during the first half of the century.

Key Figures: Friedrich List is one of the prominent figures associated with the Old German Historical School.

Characteristics: This early phase of the German Historical School emphasized the importance of historical analysis and the unique historical context of each nation in shaping its economic development. The Old School was known for advocating economic nationalism and protective tariffs as means to promote domestic industry and national economic growth. Friedrich List's ideas, such as the "National System of Political Economy," exemplify the views of this phase.

Younger German Historical School (Jüngere Historische Schule):

Time Period: The Younger German Historical School emerged in the mid-19th century and gained prominence during the second half of the century.

Key Figures: Wilhelm Roscher and Karl Knies are prominent representatives of the Younger German Historical School.

Characteristics: This phase placed a stronger emphasis on the study of economic history and institutions. Economists in the Younger School sought to apply a historical and inductive approach to economic analysis, exploring the historical development of economic institutions and their influence on economic outcomes. They also emphasized the importance of understanding economic phenomena in their historical context.

Youngest German Historical School (Jüngste Historische Schule):

Time Period: The Youngest German Historical School emerged in the late 19th century and continued into the early 20th century.

Key Figures: Gustav von Schmoller and his associates, often referred to as the Kathedersozialisten (Chair Socialists), are central figures in the Youngest School.

Characteristics: This phase of the German Historical School was particularly focused on social policy and the social implications of economic policies. It advocated for state intervention in economic affairs to address social issues and protect workers. The Youngest School played a significant role in shaping social and economic policies in Imperial Germany and contributed to the development of the German welfare state.

These three phases within the German Historical School represent the evolution of thought and emphasis within the school over time. While they all shared a commitment to historical and contextual analysis of economics, they differed in their specific policy recommendations, methodological approaches, and areas of focus. The Youngest German Historical School, in particular, had a substantial impact on shaping economic and social policies in Germany during its era.

Key Ideas and Characteristics of the German Historical School:

Historical and Evolutionary Approach: The hallmark of the German Historical School was its emphasis on understanding economic phenomena in their historical and evolutionary context. It rejected the idea of universal economic laws that applied at all times and places, which was a central tenet of classical economics. Instead, it argued that economic principles and institutions were shaped by historical, cultural, and social factors.

Institutionalism: The German Historical School was a forerunner of institutional economics. It stressed the importance of studying economic institutions, such as property rights, legal systems, and social norms, in understanding economic outcomes. This perspective highlighted how institutions could vary from one society to another and shape economic behavior accordingly.

Methodological Pluralism: The Historical School did not adhere to a single methodological approach. It recognized the value of both deductive reasoning (as favored by classical economists) and inductive reasoning (based on empirical observation and historical analysis). This methodological pluralism allowed for a more holistic and context-specific analysis of economic phenomena.

Rejecting Laissez-Faire: While classical economists advocated for minimal government intervention in the economy (laissez-faire), the German Historical School was more inclined toward a role for the state in economic affairs. They believed that government policies should be tailored to the specific needs and circumstances of a nation, as determined by its historical and cultural context.

Social Welfare and Ethical Considerations: The Historical School placed a strong emphasis on social welfare and ethical considerations in economic analysis. It argued that economics should not be solely about efficiency and maximizing individual utility but should also consider the broader societal well-being and moral values.

Prominent Thinkers of the German Historical School:

Friedrich List (1789-1846): Friedrich List was a key figure in the early development of the Historical School. He is best known for his advocacy of protective tariffs and economic nationalism as a means of promoting industrialization and national economic development.

Wilhelm Roscher (1817-1894): Wilhelm Roscher is considered one of the founders of the Historical School. He emphasized the importance of historical research and argued that economics should be rooted in a deep understanding of a nation's history and culture.

Gustav von Schmoller (1838-1917): Gustav von Schmoller was a prominent member of the Historical School and a leading figure in the Verein für Socialpolitik (Association for Social Policy). He emphasized the importance of empirical research and played a significant role in shaping economic policy in Imperial Germany.

Karl Knies (1821-1898): Karl Knies contributed to the development of the Historical School by emphasizing the importance of historical context and the study of institutions in economic analysis.

Max Weber Contributions

Max Weber was a prominent German sociologist and scholar who made substantial contributions to several fields, including sociology, economics, and political science. His work had a profound impact on our understanding of social behavior, institutions, and the relationship between culture and society. While he wasn't a traditional economist associated with the school, his ideas and research intersected with some key themes of the German Historical School. . Here are the major contributions of Max Weber in this context:

1. The Protestant Ethic and the Spirit of Capitalism (1905): Weber's most famous work, "The Protestant Ethic and the Spirit of Capitalism," explored the connection between religious beliefs, particularly Protestantism (Calvinism and Puritanism), and the emergence of modern capitalism. He argued that certain Protestant values, such as the idea of a "calling" or vocation and a strong work ethic, fostered a spirit of economic rationalization and contributed to the development of capitalism. This work is considered one of the foundational texts in the sociology of religion and economic sociology.

2. Bureaucracy and Rationalization: Weber extensively studied the concept of bureaucracy and its role in modern society. He described the characteristics of an ideal bureaucratic organization, emphasizing its efficiency and rational decision-making processes. His analysis of bureaucracy has had a lasting influence on the fields of sociology and organizational theory.

3. Rationalization and Disenchantment: Weber introduced the concept of "rationalization" to describe the process by which traditional and charismatic authority systems were replaced by rational and bureaucratic ones. He also discussed the "disenchantment" of the world, referring to the decline of mystical and religious elements in society as it became more rationalized and secular.

4. Cultural and Historical Analysis: Max Weber shared the German Historical School's emphasis on the importance of culture and historical context in understanding economic and social phenomena. He believed that cultural factors, including religion, played a critical role in shaping economic behavior and institutions.

5. Methodological Pluralism: Weber was open to different research methods and approaches, which aligned with the methodological pluralism sometimes seen within the German Historical School. He believed that the choice of method should be driven by the research question and the nature of the phenomenon being studied.

6. Interdisciplinary Approach: Like the German Historical School, Weber adopted an interdisciplinary approach, drawing on history, sociology, economics, and other fields to analyze complex social phenomena. He believed that understanding economic behavior required a broader perspective that considered social, cultural, and historical factors.

7. Historical Context in Sociology: Weber's sociological work often delved into historical analysis, and he believed that a historical context was crucial for understanding contemporary social issues. His historical investigations influenced his sociological theories.

8. Ideal Types: Weber developed the method of "ideal types," which involves constructing abstract models of social phenomena to facilitate analysis and comparison. This method has been widely used in sociological and political research.

9. Three Types of Authority: Weber classified authority into three types: traditional, charismatic, and legal-rational. This classification helps explain how authority is legitimized in different social settings.

10. Social Action: Weber's work on social action stressed the importance of understanding individual behavior in a social context. He distinguished between four types of social action: rational, value-rational, effectual, and traditional. This framework remains a fundamental concept in sociological theory.

11. Theory of Social Stratification: Weber developed a comprehensive theory of social stratification that considered multiple dimensions of inequality, including class, status, and party (political power). His insights on social class and status have influenced the study of social inequality and mobility.

12. Religious Sociology: In addition to his work on the Protestant ethic, Weber made significant contributions to the sociology of religion. He explored the role of religion in shaping social and economic behavior and the impact of religious beliefs on societal development.

13. Political Sociology: Weber's writings on politics, including his concepts of authority and legitimacy, have had a lasting impact on political science and the study of government and governance.

The Marginalist school

The Marginalist school was developed by a number of economists in different countries working independently. Some of the pioneers include Herman Heinrich Gossen in Germany, Carl Menger in Austria, Leon Walras in Switzerland, and W. Stanley Jevons and Alfred Marshall in England. Marginalism became the dominant school for microeconomic or partial analysis, and almost every elementary college economics textbook uses it to analyze the firm, individual production and consumption activities, the market for individual products, and the formation of individual prices. It remained supreme in Western economics until Keynesian macroeconomics appeared in 1936. Today both types of analysis continue to flourish side by side.

The Social Background of the School

Various problems (e.g., widespread poverty, extreme uneven distribution of income and wealth, business fluctuations, industrial accidents without adequate workman's compensation, long work days in dangerous and unhealthy conditions, monopolistic business, insecurity in old age, etc.) caused people to seek solutions beyond the narrow concepts of classical economic thinking. The European trends in seeking solutions included socialism, trade unionism, and government regulation to eliminate abuses and redistribute income. The marginalist economists opposed those trends, defended laissez faire, denounced socialism, discouraged unionism, and were critical of government intervention. The early marginalist viewed classical economics as unacceptable because it appeared to conclude that rent was unearned income, and that labor created all values.

Here are some key concepts and ideas associated with the Marginalist School:

Marginal Utility: One of the central ideas of the Marginalist School is the concept of marginal utility. This concept suggests that the value of a good or service is not determined by its total utility but by the additional satisfaction or utility it provides for each additional unit consumed. In other words, it's the utility of the last (marginal) unit that matters in decision-making.

Subjective Value: Marginalists emphasized that value is subjective and depends on individual preferences and utility. This was a departure from classical economics, which focused on objective factors like the amount of labor required to produce a good.

Consumer Choice: The Marginalist School laid the groundwork for modern consumer theory by examining how consumers make choices based on their preferences, marginal utility, and budget constraints. This led to the development of demand curves and the concept of consumer surplus.

Theory of Exchange: The Marginalists also developed a theory of exchange that emphasized how goods and services are exchanged in markets based on the principle of mutual benefit. They introduced the idea that individuals exchange goods when the marginal utility of what they give up is equal to the marginal utility of what they receive.

Equilibrium Theory: Léon Walras, in particular, developed the idea of a general equilibrium in an economy, where supply and demand for all goods and services are in balance. This concept was fundamental in the development of modern microeconomics.

Mathematical Approach: The Marginalist School embraced a more mathematical and formal approach to economics, which laid the groundwork for the use of mathematical modeling in economic analysis.

While the Marginalist School made significant contributions to economic thought, it also faced criticism for its reliance on mathematical models and its assumption of rational behavior, which some argue may not always reflect real-world economic decisions accurately. Overall, the Marginalist School represented a paradigm shift in economic thinking, shifting the focus from the labor theory of value and classical economics to the subjective preferences of individuals, marginal analysis, and the foundation of modern microeconomics.

The Essence of the Marginalist School

1. The marginalist concentrated on the margin where decisions are made to explain economic phenomena extending the marginal principle in Ricardo's theory of rent to all economic theory.

2. The marginalist approach was microeconomic rather than macroeconomic, i.e., they considered individual decisions rather than the aggregate economy, market conditions and prices for a single product etc.

3. Their method was abstract and deductive.

4. Their environment was mainly pure competition (many buyers and sellers, homogeneous products, uniform prices, no advertising, no individual or business with economic power), with an occasional monopoly.

5. They viewed demand as the primary determinate of price. Alfred Marshall synthesized the classical emphasis on supply with the marginalist emphasis on demand into what economists refer to as neoclassical economics.

6. Marginalist school economics is subjective and psychological. Demand depends on marginal utility, a psychic phenomenon, and the costs of production involves sacrifices, i.e., the pains related to working, managing a business, and saving money.

7. The marginalists believed that the economic forces worked towards balancing opposing tendencies, or equilibrium.

8. The marginalists theory generally included land with other capital goods and combined rent to the landowner with interest theory refuting the implication in the labor theory of value that rent was unearned income.

9. Men were assumed to be rational in balancing pleasure and pain, the present against the future, and in their understanding of the marginal utilities of different goods. Men were also assumed to be hedonistic in maximizing pleasure and minimizing pain.

10. The marginalists continued the classical school's defense of laissez faire as the most desirable policy to generate maximum social benefits.

What Groups of People did the Marginalist School Serve or Seek to Serve?

Marginalist economic theory benefited those who favored the status quo, including employers, landowners, and the wealthy. They were conservative in that they opposed unions, defended landowners against Ricardo's rent theory, and were opposed to government intervention.

How was the Marginalist School Valid, Useful or Correct in its Time?

The school developed new tools for analysis such as geometrical diagrams and mathematical techniques making economics more of an exact science. They gave demand more importance in determining prices, emphasized the forces that shape individual decisions, and made assumptions related to economic activity that were not considered or clearly stated in classical thinking. The method of partial analysis is useful in that it allows the investigation of complex phenomena by allowing one variable to change at a time, while assuming everything else remains constant. Introducing additional variables allows the analyst to approach more realistic situations.

How did the Marginalist School Outlive its Usefulness?

Marginalism has been modified since 1930, but it has not outlived its usefulness. It has weaknesses such as the famous fallacy of composition (i.e., what is true for the part is assumed to be true for the whole) that has led to erroneous conclusions. For example, Lionel Robbins wrote as late as 1934 that wage reductions were one of the necessary cures to overcome the great depression. Another weakness was the assumption of pure competition. Although the assumption was reasonable in the

1870s, it is irrelevant in large sections of the economy today. The equilibrium approach also has serious weaknesses in that an individual's work day, for example is determined more by historical and institutional factors (time clock, union collective agreements) than by the individual's attempt to balance the pleasure derived from wages against the pain associated with work. Individualism remained a dominant concept in economic theory in spite of the growing effects of collective action.

The early marginalist believed that laissez faire would produce the best results possible and that government intervention was undesirable since the economy was supposedly self-regulating. What was good for business was assumed to be good for the country, the same idea promoted by the classical economists. They also assumed that individuals preferred present spending to future spending (a positive time preference). Individuals viewed interest as the reward for abstinence, therefore underestimating their future needs by refusing to save unless they received a monetary inducement. Other reasons for savings (accumulation of wealth for power and prestige etc.) were overlooked. If, as the marginalist believed, interest is a reward for abstinence, then there should be no unemployment because as soon as unemployment appears, interest rates would drop, wealthy individuals would increase their consumption spending, and this would offset the decline in economic activity. But the system does not work this way.